

Worked example -- the FX-adjusted dollar investor over three months (mid-2022)

Month	FXGCF signal	Forecast E[rx] (%)	Recursive vol (%)	Target weight	Action	Realized 12m (%)
2022-05	0.36	4.10	6.51	0.92	Hold overweight	-8.2
2022-06	0.24	3.95	6.65	0.85	Sell ~8% of bonds -> underweight	-6.7
2022-07	-0.18	3.64	6.76	0.76	Sell ~11% of bonds -> near-cash	-10.6

Each month the investor reads the recursive FXGCF signal, updates the forecast E[rx] and the recursive volatility, and sets the mean-variance target weight $w = (1/\gamma) E[rx]/\text{vol}^2$; 'Action' is the implied rebalancing. 'Realized 12m' is the subsequent realized return, shown only to assess the call ex post -- it is not used in forming the weight. The deteriorating signal drove a move to near-cash ahead of a sharp drawdown.